NET731 Week 8 Practical: Cost Management

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Module	NET731
Week	8
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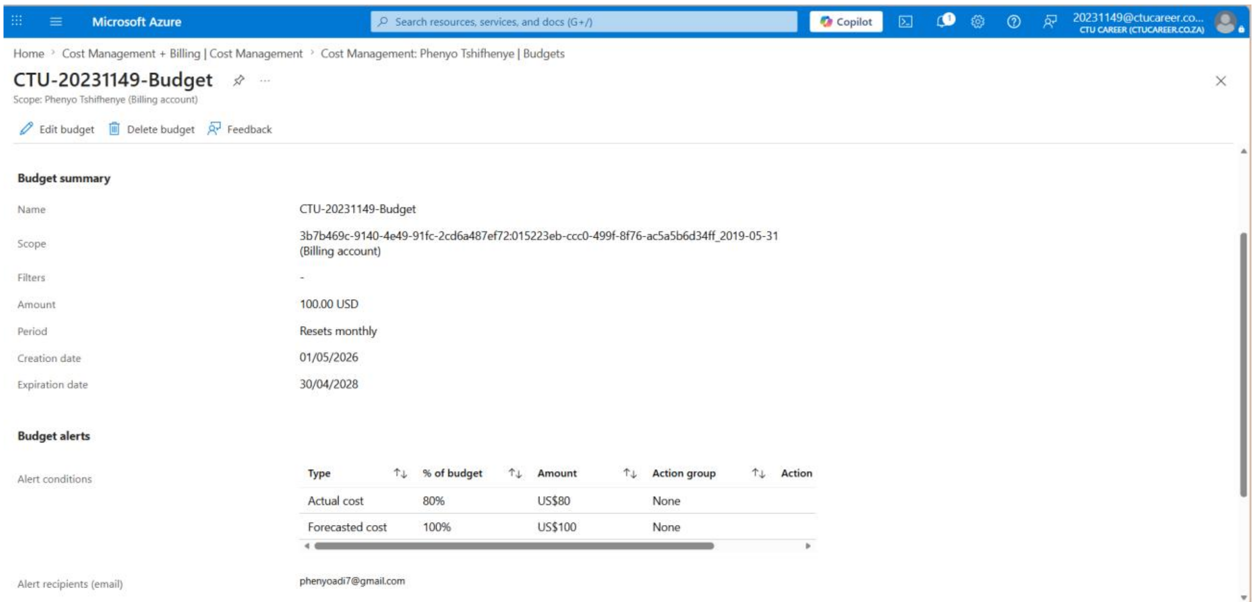
Task 1 – Create Azure Budget Alerts

I created a budget called CTU-20231149-Budget with a monthly reset and a limit of 100 USD to match the Azure for Students credit. The portal only showed the available Cost Management scope as my billing account, so the budget was created at the visible scope Phenyo Tshifhenye (Billing account). Two alerts were configured: 80% for Actual cost and 100% for Forecasted cost, with my email set as the recipient.

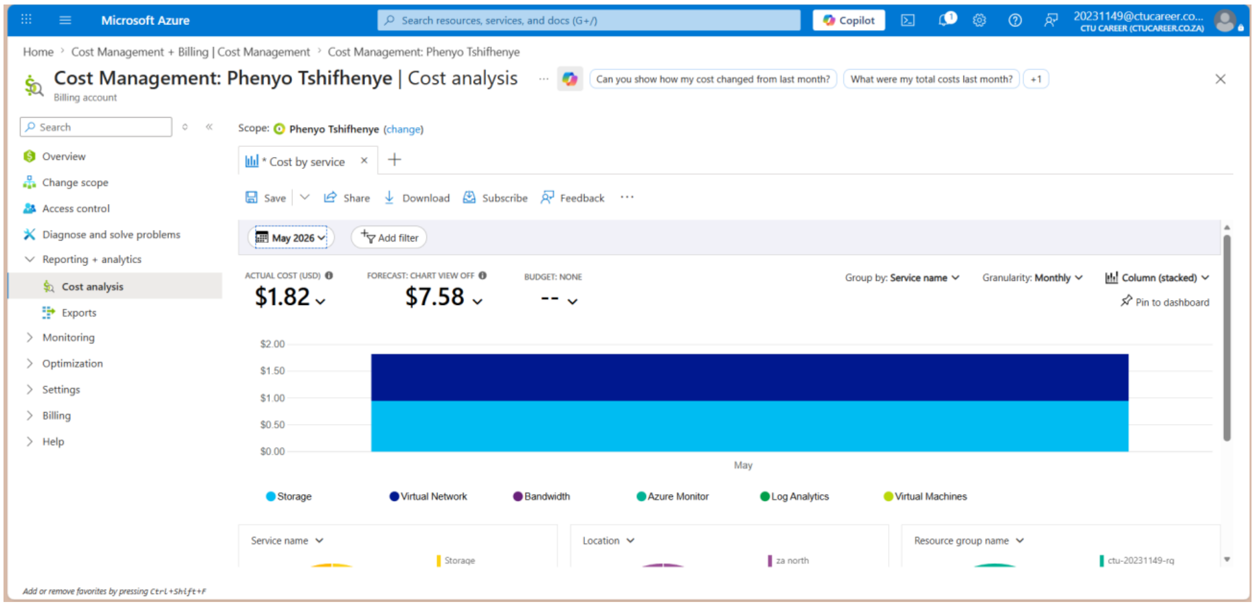


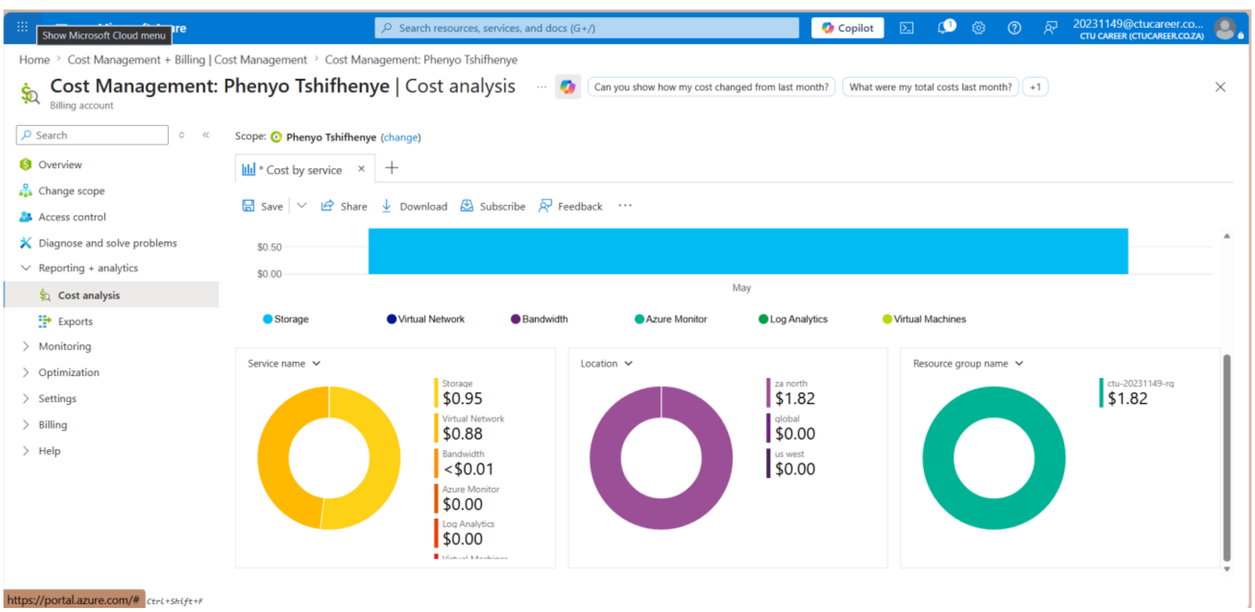
Budget configuration summary

Budget name	CTU-20231149-Budget
Scope	Phenyo Tshifhenye Billing account
Amount	100 USD
Threshold 1	Actual cost – 80%
Threshold 2	Forecasted cost – 100%

Task 2 – Monitor Usage and Adjust Resource Settings

In Cost Analysis I reviewed my spending by service and resource group for May 2026. The actual cost at the time of review was 1.82 USD and the forecast was 7.58 USD. The highest-cost service was Storage at 0.95 USD, followed by Virtual Network at 0.88 USD, while Bandwidth was less than 0.01 USD.





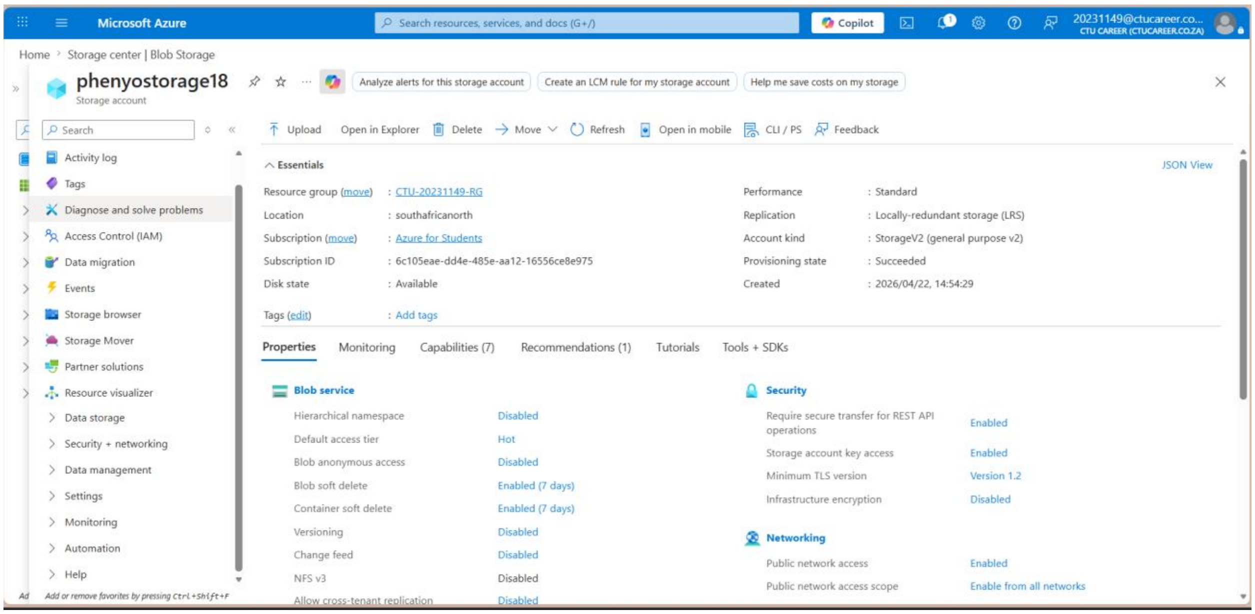
Top 3 most expensive cost drivers

Rank	Service / Resource	Why it costs money
1	Storage (phenyostorage18) – $0.95	Storage transactions and data kept in the storage account made Storage the largest cost item in the billing view.
2	Virtual Network – $0.88	Virtual networking related charges were the second-largest cost

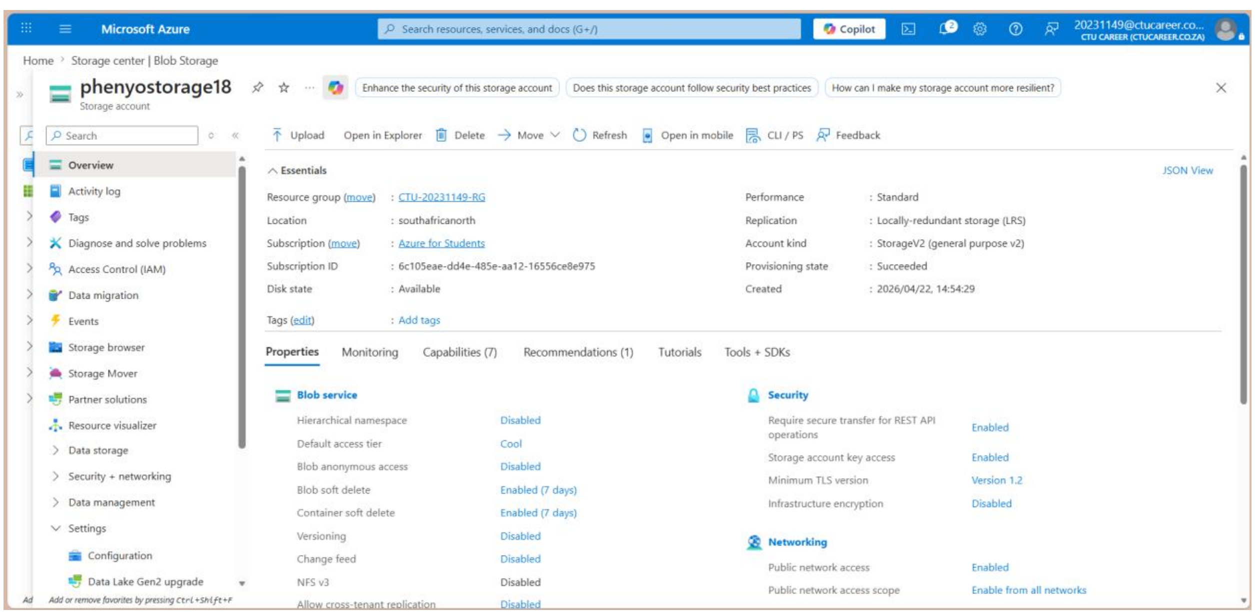
		driver in the current month.
3	Bandwidth – < $0.01	A small amount of network traffic generated a very low bandwidth charge.

Cost-saving adjustment

Because Storage was the highest-cost service, I adjusted the storage account configuration. Before the change, the Blob access tier was Hot. I changed it to Cool because the files in the account are not accessed frequently. This should lower future storage costs while still keeping the data available.



Before Blob access tier set to Hot.



After Blob access tier changed to Cool.

Based on the Cost Analysis forecast, my projected spend for the current month is 7.58 USD. At this rate I am comfortably on track to stay within the 100 USD Azure for Students budget for the project, especially because the most expensive service has already been optimised.

Reflection questions

What surprised you most about your Azure spending this week?

What surprised me most was that the Storage was the biggest cost driver instead of the virtual machine. I expected the virtual machine to be the most expensive item, but the Cost Analysis view showed that storage charges were slightly higher than the networking related charges in my environment.

How would cost management differ if this were a production environment used by a real business?

In a production environment, cost management would need stricter governance, approval processes, tagging standards and regular reporting to management. A real business would also balance cost against availability, performance, backups, security and customer impact, so some cost-saving decisions would need more careful planning.

What additional Azure Cost Management features would you explore if you had more time?

If I had more time, I would explore scheduled exports, more detailed saved views in Cost Analysis, and cost anomaly detection or recommendations. I would also look deeper into how budgets and alerts can be used together with tagging to monitor costs per resource group, workload or department.